

TO: Prime Minister Hon. Mia Amor Mottley, Chair, V20 Group

FROM: Dr Iyabo Masha, Director, G-24 Secretariat

SUBJECT: Scaling Debt-for-Nature Swaps through a V20 Sovereign Mechanism

DATE: April 6th, 2026

I. Issue

The V20 faces a converging crisis of sovereign debt vulnerability and climate exposure, which constrains its members' ability to finance biodiversity conservation and climate resilience.

Recent G-24 discussions highlight that many climate-vulnerable economies are caught in a “climate-debt trap,” where debt servicing crowds out climate investment (Devarajan, 2022).

Debt-for-nature swaps and nature-linked bonds offer a pathway to break this cycle without increasing borrowing (annex A). However, despite gaining traction, these instruments remain underutilized (annex B). A V20 Nature Insurance Pool offers a strategic way to scale debt-for-nature solutions, enhance market confidence in them, and safeguard natural ecosystems

II. Existing Policy Gaps

The Global Shield against Climate Risks, launched at COP27 by the V20 and G7, represents an important step toward pre-arranged disaster financing (The Global Shield, 2026). However, it focuses primarily on post-shock liquidity and insurance, rather than long-term debt sustainability.

Similarly, climate funds such as the Green Climate Fund provide targeted support but suffer from slow disbursement and limited scale (Fund, n.d.). These initiatives highlight a broader gap in the global system that prioritizes reactive financing over structural debt transformation.

III. Recommendation

I recommend that the V20 establish a sovereign-backed Nature Insurance Pool to underwrite biodiversity-linked debt instruments. See annex C for cost-benefit analysis and risk assessment.

This mechanism would:

- Pool risk across member states, lowering insurance premiums and making climate-linked debt more affordable (Devarajan, 2022)
- Strengthen market confidence in nature-linked bonds because a sovereign-backed guarantee signals credibility to investors, which will attract broader participation from private and institutional capital.
- Enable debt-for-nature swaps to scale beyond bilateral deals through coordinated pooling and standardized frameworks, unlocking financing at a regional level (Ghanem, 2023)

Crucially, this approach does not require V20 members to mobilize new fiscal resources (annex D). Instead, it leverages creditor participation, multilateral risk-sharing, and the strategic rechanneling of global liquidity to finance climate resilience (UNDP, 2023; see annex E).

V. Conclusion

Incremental reforms to existing debt and climate finance mechanisms are unlikely to meet the scale and urgency of current challenges (Devarajan, 2022; Collier, 2024). Early leadership on this issue would strengthen the V20's role in shaping the evolving global financial architecture. Hence, the immediate decision for the V20 must be to establish a sovereign-backed Nature Insurance Pool that lowers risk premiums, enables large-scale issuance of biodiversity-linked debt instruments, and reinforces South-South financial cooperation.

ANNEX A

Instrument	Key Features	Successes
Seychelles (2016 Debt-for-Nature Swap)	\$21.6M debt restructured for marine conservation; partnership with The Nature Conservancy	Demonstrated feasibility of linking debt relief to conservation outcomes; leveraged private and multilateral financing
Costa Rica (2008 Forest Debt Swap)	Debt reduction in exchange for national forest protection funding	Strengthened domestic institutions; improved monitoring and transparency
Belize (2018 Blue Bond)	Sovereign bond backed by debt restructuring and private insurance	Market confidence increased; first example of a “blue bond” structure in small economy

Lessons Learned-

1. Early engagement with all creditors (bilateral, multilateral, private) is critical.
2. Clear domestic governance and monitoring mechanisms enhance effectiveness.
3. Strategic use of guarantees or insurance mitigates perceived investment risk.

ANNEX B

According to Pandey (2026), Debt-for-Nature Swaps fail to scale because of-

1. High Transaction Costs

- Complex structuring involving multiple stakeholders
- Legal and monitoring costs reduce attractiveness

2. Creditor Coordination Problems

- Diverse creditor base (bilateral, private, multilateral)
- No unified framework for participation

3. Risk Perception and Insurance Costs

- Private insurers price climate vulnerability as high sovereign risk

- Raises the cost of issuing nature-linked instruments

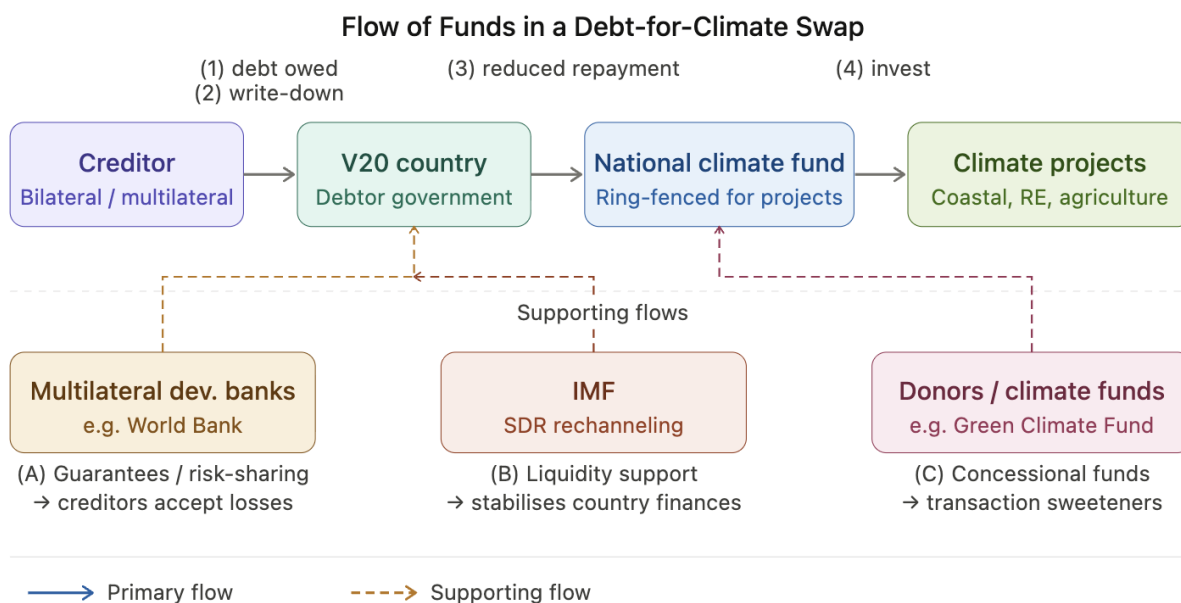
ANNEX C

Cost-Benefit Analysis (USD)-

Dimension	Benefits	Costs
Fiscal Space	Debt reduction: \$500M-\$1.5B per country per year through swaps and restructured obligations	Limited scale relative to total debt stock: \$2B-\$5B remaining debt not addressed
Climate Impact	Direct investment in adaptation & resilience: \$300M-\$800M per year across pooled projects	Risk of weak project monitoring: potential \$50M-\$150M loss if projects fail
Political Economy	Alignment of domestic & international priorities: \$100M-\$200M (efficiency gains, avoided policy delays)	Complex creditor coordination: \$10M-\$50M in negotiation, advisory, legal fees
Financial Stability	Reduced default risk: \$200M-\$500M avoided losses from debt distress	Creditors reluctant to accept losses: potential \$50M write-downs or higher
Speed	Faster mobilization vs multilateral programs: \$150M-\$400M in early disbursements	High transaction & negotiation costs: \$20M-\$60M per swap cycle

Risk Assessment-

Risk	Description	Mitigation Strategy
Creditor Coordination Risk	Fragmented creditors (private, bilateral, multilateral) can delay agreements and slow swap execution	Establish standardized swap frameworks; V20-led coordination; leverage MDB facilitation
Moral Hazard Concerns	Creditors fear repeated restructuring demands, reducing willingness to participate	Nature Insurance Pool signals credibility; define clear eligibility and limits on repeated support
Implementation Risk	Weak domestic institutions may misallocate funds or delay climate projects	Provide technical assistance from MDBs; implement performance monitoring and auditing mechanisms
Insufficient Scale	Swaps remain “boutique” and fail to address systemic debt-climate vulnerabilities	Pool risk across members; coordinate regionally; leverage SDRs and multilateral guarantees to scale



ANNEX D

ANNEX E

The V20 Nature Insurance Pool will operate across multiple institutional layers. Multilateral development banks provide essential liquidity, technical support, and credibility (Songwe & Aboneaaj, 2023), while alignment with G-24 guidance and existing frameworks such as the G-20 and IMF enhances political legitimacy and policy coherence. Strong domestic governance, including robust implementation, monitoring, and reporting, is critical for accountability and investor confidence. Effective coordination across these international and national institutions, combined with clear governance rules, is key to the pool’s operational success and market credibility.

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